ECO401 Quiz#3

By Sparky



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1. Which of the following is NOT a reason why the aggregate demand curve slopes downward?
    a. The exchange-rate effect
    b. The interest-rate effect
    c. The wealth effect
    d. The classical dichotomy/monetary neutrality ✔SPARKY
2. Which of the following is an example of a public good?
    a. Private healthcare
    b. Cable television subscription
    c. Fast food restaurant
    d. National defense ✔SPARKY
3. Suppose government of Pakistan wishes to achieve a fall in unemployment, which of the following policies should it adopt?
    a. Raise Value Added Tax (VAT).
    b. Reduce the real value of income tax free allowances.
    c. Start public job training programs. ✔SPARKY
    d. Reduce government spending on capital projects.
4. The concept of "Say's Law" in classical economics suggests:
    a. That supply creates its own demand. ✔SPARKY
    b. That saving is more important than spending.
    c. That government intervention is necessary for economic stability.
    d. That demand creates its own supply.
5. Productive efficiency is achieved when firms produce at the:
    a. Highest point of marginal cost curve
    b. Lowest point of average cost curve ✔SPARKY
    c. Lowest point of marginal cost curve
    d. Highest point of average cost curve

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6. If Competitive markets do not achieve equitable outcomes, then it is called:
    a. Non-rational consumers.
    b. Market failure. ✔SPARKY
    c. Imperfect market structure.
    d. Limit pricing.
7. In Keynesian economics, a deflationary gap occurs when aggregate expenditures are:
    a. Greater than aggregate production.
    b. Equal to aggregate production.
    c. Undetermined.
    d. Less than aggregate production. ✔SPARKY
8. Which efficiency is concerned with producing goods in the most cost-efficient manner?
    a. Technical efficiency
    b. Productive efficiency ✔SPARKY
    c. Allocative efficiency
    d. Economic efficiency
9. In monopolist market, a new entrant firm should produce where:
    a. Marginal Cost = Average Revenue.
    b. Marginal Cost = Marginal Revenue. ✔SPARKY
    c. Marginal Cost > Marginal Revenue.
    d. Marginal Cost < Marginal Revenue.
10. There are commonly _____methods of measuring GDP.
    a. Two
    b. Five
    c. Three ✔SPARKY
    d. Four

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1. ---------- is an accounting record of a country's transactions with rest of the world.
    a. Balance of payment
    b. Balance of trade
    c. Rate of inflation
    d. Trade liberalization
2. The labour force is made up of:
    a. The number of people employed plus the number of people unemployed.
    b. The number of people employed minus the number of people unemployed.
    c. Just the number of people employed.
    d. The whole population.
3. What measures the rate of increase of average wage in the economy?
    a. Consumer Inflation Index
    b. Wage inflation
    c. Wage deflation
    d. Producer Inflation Index
4. A growth rate for lower income countries (LIC's) is considered healthy if it is:
    a. Below 2%
    b. Above 8%
    c. Between 5% to 7%
    d. Exactly 3%

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5. According to the quantity theory of money, which of the following is TRUE for the equation MV = PQ?
    a. Q is the real price level
    b. P rises as V falls, other things constant
    c. M is real money supply
    d. M is nominal money supply
6. The interest rate parity is the basic identity that relates:
    a. Nominal exchange rate and real exchange rate
    b. Saving rate and real interest rate
    c. Saving rate and nominal interest rate
    d. Interest rates and exchange rates
7. Revaluation is known as:
    a. The act of less or more permanent increase in the value of price by government
    b. The act of increasing the price of one country's currency in terms of other currencies by the government
    c. The act of decreasing the price of one country's currency in terms of other currencies by the government
    d. The act of less or more permanent decrease in the value of price by government
8. Measures the value of output during a given year using the prices prevailing during that year is:

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a. Real GDP
b. Nominal effective exchange rate
c. Real exchange rate
d. Nominal GDP

9. According to classicals, unemployment is
a. Structural
b. Seasonal
c. Voluntary
d. Involuntary

10. If output gap is positive then:
a. It will have no impact on economy
b. Economy will be in recession
c. It will have negative impact on economy
d. Economy will be in expansion

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ECO401 QUIZ#2

1. **Giffen goods are the sub category of:**
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   b. Normal goods
   c. Expensive goods
   d. Luxury goods

2. **The study of economics basically focuses on:**
   a. For whom resources are allocated to increase efficiency.
   b. How scarce resources are allocated to fulfill society's goals. @studywithhamza25
   c. What scarce resources are used to produce goods and services.
   d. How society spends the income of individuals.

3. **The law of diminishing marginal utility refers to the:**
   a. Idea that total utility is negative.
   b. Fall in additional satisfaction created by consumption of more and more units of a good. @studywithhamza25
   c. Decrease in total satisfaction as more units of a good are consumed.
   d. Units of a good.

4. **Which of the following is a determinant of quantity supplied?**
   a. All of the given options. @studywithhamza25
   b. Cost of productions.
   c. Aims of Producers.

d. **Profitability of alternative goods.**

5. **The increment to total benefit derived from consuming an additional unit of good or service is known as:**

a. Average cost
b. Marginal benefit **@studywithhamza25**
c. Marginal revenue
d. Marginal cost

6. **Suppose that thirty units of output are produced by using five units of labour. The average product of labour is:**

a. **5**
b. **30**
c. **1/6**
d. **6 @studywithhamza25**

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7. **Which of the following is TRUE about the production function?**

a. **It relates inputs with output.**
b. **It generates a curve that is upward sloping.**
c. **It shows diminishing marginal product of an input.**
d. **All of the given options are true. @studywithhamza25**

8. **If there is a price ceiling, there will be:**

a. Shortages **@studywithhamza25**
b. Surpluses
c. Economic efficiency
d. Equilibrium

9. If a 4% rise in consumer's incomes causes an 8% rise in product's demand, the income elasticity of demand for the product will be:

a. 1.5.
b. 0.5.
c. 2.5.
d. 2. @studywithhamza25

10. Why is price mechanism important in Economics?

Controls government expenditures

Circulates money

Provides consumer discounts

Regulates demand and supply @studywithhamza25

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1. The marginal revenue (MR) function can be found by taking the derivative of the:

a. Total revenue (TR) function@STUDYWITHHAMZA25
b. Average revenue (AR) function
c. Total cost (TC) functon
d. Marginal cost (MC) function

2. In which of the following cases long run total cost (LRTC) curve is positively sloped straight line?

a. Economies of scale
b. Constant costs@STUDYWITHHAMZA25
c. Returns to scale
d. Diseconomies of scale

3. Suppose that 24 units of output are produced by using 6 units of labor. Which of the following is TRUE in this context?

a. The average product of labor is 4. @STUDYWITHHAMZA25
b. The total product of labor is 1/4.
c. None of the given options
d. The marginal product of labor is 4.

4. If the quantity of all inputs are increased by 30% and output expands by 25%, then the firm is experiencing ;

a. Constant returns to scale
b. Increasing returns to scale

c. None of above

d. Decreasing returns to scale@STUDYWITHHAMZA25

5. **The L-shaped indifference curve line indicates that the two goods are perfect**;

a. Food

b. Luxuries

c. Compliments

d. Substitutes@STUDYWITHHAMZA25

6. **Which of the following is TRUE about the total cost curve?**

a. It gets steeper as output rises.

b. It relates output with total cost.

c. All of the given options are true. @STUDYWITHHAMZA25

d. It is usually upward sloping.

7. **If total revenue function of a firm is TR = 200 – 4Q, then marginal revenue will be**:

a. 4Q

b. -4

c. -4Q@STUDYWITHHAMZA25

d. 200

8. **If the marginal physical product is above the average physical product:**

a. The total physical product will fall.

b. Average variable costs will fall.

c. Total revenue will fall.

d. The average physical product will rise.

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9. The total cost per unit of output is called;

a. A Sunk cost.
b. An Opportunity cost.
c. An Average cost. @STUDYWITHHAMZA25
d. A Variable cost.

10. Which of the following statements describes the presence of diminishing returns?

a. The marginal product of a factor is positive and rising.
b. The marginal product of a factor is positive but falling. @STUDYWITHHAMZA25
c. The marginal product of a factor is falling and negative.
d. The marginal product of a factor is constant.

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1. The optimal consumption point for the consumer is a point where:
   a. Budget line is tangent to the highest possible indifference curve.
   b. Slope of the indifference curve is equal to slope of the budget line.
   c. Marginal rate of substitution equals the relative price ratio.
   d. All of the given options are true. ✔HB ✔HB^{HB}
2. What does demand schedule represent?
   a. Relationship between demand and supply
   b. Consumer preferences
   c. Different combinations of demand and price ✔HB
   d. Changes in market conditions
3. If marginal utility is equal to 50 and price is equal to 40, consumer surplus will be:
   a. 100
   b. 90
   c. 10 ✔HB
   d. 20

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4. Suppose the total utilities for the third and fourth units of a good consumed are 69 and 83, respectively. The marginal utility for the fourth unit is:
   a. 69
   b. 10
   c. 83
   d. 14✔HB
5. What does economic growth mean?
   a. Decrease in country's total output
   b. No change in country's total output
   c. Redistribution of country's total output
   d. Increase in country's total output✔HB
6. Faiza stays at home for cooking rather than going out with her friends for a walk. Her dilemma is an example of:
   a. Opportunity cost✔HB
   b. Nash Equilibrium
   c. Allocative efficiency
   d. Marginal analysis
7. "We all want a bunch of stuff, we can't have everything that we want." Which of the following best describes this statement?
   a. Scarcity✔HB

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b. Inflation
c. Rationing
d. Bundling

8. Which of the following factors would cause a leftward shift in the supply curve for bicycles?
a. Decrease in prices of inputs
b. Change in taste
c. Increase in income
d. Increase in prices of inputs ✔HB

9. Which of the following is the slope of the budget line;
a. -Py/Px✔HB
b. Px/Py
c. Px+Py
d. –Px/Py

10. The cross price elasticity of demand for substitute goods is:
a. Minus one.
b. Zero.
c. Positive. ✔HB
d. Negative.

HB
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1. ‘Advertising by a rival industry’ is an example of:
    a. Internal diseconomies of scale
    b. Returns to factor
    c. External economies of scale ✔^{HB}
    d. Internal economies of scale
2. Which of the following is true for constant returns to scale?
    a. 1% increases in the amount of all the factors employed causes 0.5% increase in output
    b. 1% increase in the amount of all the factors employed causes 2% increase in output
    c. 1% increase in the amount of all the factors employed causes 5% increase in output
    d. 1% increase in the amount of all the factors employed causes 1% increase in output ✔^{HB}
3. Which of the following is the characteristic of a perfectly competitive market?
    a. Price taker behavior ✔^{HB}
    b. Patented products
    c. Unique products
    d. Barriers to entry
4. If marginal revenue function is MR = 500 - 50Q, slope of marginal revenue function will be:
    a. 50
    b. 50Q
    c. -50Q
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5. Which of the following is true for short run productivity theory?
    a. One factor of production is variable
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6. Suppose a firm is facing higher per unit cost due to increase in size of the industry. This implies that firm is experiencing:
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    b. External economies of scale

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c. Internal diseconomies of scale
d. External diseconomies of scale ✔^{HB}

7. If marginal revenue function of a firm is MR = 18 – 2Q. What will be the slope of marginal revenue function?
   a. -2 ✔^{HB}
   b. -2Q
   c. 18
   d. 18Q
8. Procter & Gamble Pakistan (Pvt) Ltd is producing 500 units of soap. To produce these units company bears Rs. 8000 for total fixed cost and Rs. 2000 for total variable cost. What will be the total cost in this case?
   a. Rs. 6000
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1. Panasonic Corporation is a leading Japanese multinational electronics corporation. It maximizes its profit at a level of output where:
    a. Marginal Cost = Marginal Revenue. ✔SPARKY
    b. Marginal Cost < Marginal Revenue.
    c. Marginal Cost = Average Revenue.
    d. Marginal Cost > Marginal Revenue.
2. Which of the following statements best describes the relationship between the Marginal Disutility of Work(MDUW) and leisure?
    a. As MDUW increases, the desire for leisure decreases.
    b. MDUW and leisure are unrelated concepts.
    c. As MDUW increases, the demand for leisure increases. ✔SPARKY
    d. MDUW has no impact on the desire for leisure.
3. Which of the following is the pre-requisite of price discrimination?
    a. Markets should be dependent
    b. Firms should be inflexible to price discriminate
    c. Price elasticity of demand for different customers should be same
    d. Firms should have the flexibility to price discriminate ✔SPARKY
4. Suppose the consumption function is C = 1000 + 0.75Y. If Y = 100, then the amount of consumption is:
    a. 1500.
    b. 1100
    c. 1750
    d. 1075 ✔SPARKY
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    c. Markets should be independent ✔SPARKY
    d. None of the given options is true
6. The average propensity to save is the ratio of:
    a. A change in saving to total disposable income at a specific income level.

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b. A change in saving to a change in disposable income.
c. Total saving to total disposable income at a specific income level. ✔SPARKY
d. Total saving to a change in disposable income.

7. change in expenditure is less but change in income is higher due to
   a. Multiplier effect ✔SPARKY
   b. Inelastic demand
   c. Paradox of thrift
   d. Accelerator
8. Which of the following is a reason for firms in monopolistic competition to engage in non-price competition?
   a. Government regulation
   b. Low market demand
   c. Product differentiation ✔SPARKY d. High barriers to entry
9. Which of the following strategies does a monopolist adopt to discourage new entrants?
   a. Public relations campaigns
   b. Collaborative partnerships
   c. Threat of takeover
   d. Threatening legal action ✔SPARKY
10. If A firm spends Rs.1500 for making a product and sells its product for Rs.1800, then the valve added is equal to:
    a. Rs.1000
    b. Rs.500
    c. Rs.300 ✔SPARKY
    d. Rs.800

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d. 14✔

5. What does economic growth mean?
    a. Decrease in country's total output
    b. No change in country's total output
    c. Redistribution of country's total output
    d. Increase in country's total output✔
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    a. Opportunity cost✔
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    a. Decrease in prices of inputs
    b. Change in taste
    c. Increase in income
    d. Increase in prices of inputs ✔
9. Which of the following is the slope of the budget line;
    a. -Py/Px✔
    b. Px/Py
    c. Px+Py

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d. –Px/Py

10. The cross price elasticity of demand for substitute goods is:
    a. Minus one.
    b. Zero.
    c. Positive. ✔
    d. Negative.

11. "We all want a bunch of stuff, we can't have everything that we want." Which of the following best describes this statement?
    a. Inflation
    b. Rationing
    c. Bundling
    d. Scarcity

12. If the government imposes per unit tax on a good produced by a firm, then the equilibrium price of this good will:
    a. Decrease
    b. Undetermined
    c. Increase
    d. Remain unchanged

13. At point where the Indifference curve is tangent to the budget line is the optimal point of;
    a. Consumption
    b. Substitution
    c. Manufacturing
    d. Production

14. The total utility curve for a risk neutral person will be:
    a. Concave Curve
    b. U-shaped curve

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c. Straight line
d. Convex Curve

15. If government imposes a price ceiling on wheat, which of the following will occur in the market for wheat?
a. There will be excess supply of wheat
b. The demand curve for wheat will remain the same
c. The supply curve for wheat will shift rightward
d. There will be excess demand for wheat

16. Demand is said to be_____when the value of price elasticity of demand is zero.
a. Perfectly inelastic
b. Inelastic
c. Unit elastic
d. Elastic

17. Rabia decides to look after her baby at home rather than going out with her friends in a park. Her dilemma is an example of:
a. The economic perspective.
b. Opportunity cost.
c. Allocative efficiency.
d. Marginal analysis.

18. When producers are unable to meet market demand for the product, this results as:
a. Shortage of goods
b. Surplus of goods
c. Monopoly
d. Market failure

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19. Measurement of elasticites is made in percentage terms because:
    a. It gives a more accurate answer.
    b. The answer is always negative.
    c. The resulting measure is unit free.
    d. It is easy to calculate.
20. Suppose the total utility derived from first four units of a good consumed are 20, 27, 32, and 35 respectively. What is the marginal utility of the third unit?
21. a.10
22. b.15
23. c.zero
24. d.5
25. Which of the following is a strategy for better listening?
    a. Listen for feelings as well as facts.
    b. Listen for facts, not feelings.
    c. Listen for feelings only.
    d. Listening for facts that demonstrate feelings
26. Self-confident individuals usually stand more erect than those:
    a. who are submissive
    b. who are over-confident
    c. who are arrogant
    d. who lack confidence
27. Which one of the following is an interpersonal need to establish identity with others?
    a. Control
    b. Power
    c. Affection

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28. d. Inclusion HB

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1. **The process by which we limit the supply or amount of some economic factor which is scarcely available is called:**
   a. Bundling
   b. Price floor
   c. Rationing @studywithhamza25
   d. Price ceiling
2. **The total value of goods exchanged in product markets each year is measured by:**
   a. Gross National Product
   b. Gross Domestic Product @studywithhamza25
   c. Net National Product
   d. Disposable Income

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3. ..... is sometimes defined as the economics of "what is".

a. Normative economics
b. Microeconomics
c. Positive economics @studywithhamza25
d. Macroeconomics

4. Which of the following includes the managerial abilities that a person brings to the organization?

a. Capital
b. Entrepreneurship @studywithhamza25
c. Technology
d. Labor

5. If the cross price elasticity of demand between two products is -3.5, then:

a. One product is a normal good and the other is an inferior good.
b. The two products are complements. @studywithhamza25
c. The two products are substitutes.
d. One of the products is expensive and one is relatively inexpensive.

6. Suppose total revenue of a firm remains unchanged due to increase in the price of a good. This shows that demand of this good is:

a. Price elastic @studywithhamza25
b. Price inelastic
c. Perfectly price inelastic
d. Unit price elastic

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7. Elasticity is very important concept in economics because:

a. It helps the firms to set their prices.

b. All of the given options @studywithhamza25

c. It helps the firms in advertising strategies.

d. It helps the government to collect revenues from taxes.

8. An equilibrium is a state in which:

a. There is neither shortage nor surplus. @studywithhamza25

b. There is surplus.

c. Shortage and surplus both exist.

d. There is shortage.

9. Suppose the income elasticity of demand for cars is equal to 2.5. The given value shows that demand for cars is:

a. Infinite elastic.

b. Income inelastic.

c. Unit elastic.

d. Income elastic @studywithhamza25

10. When government gives a subsidy to producers on production of a good, the equilibrium price of that good will:

a. Undetermined

b. Remain unchanged

c. Increase

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d. Decrease @studywithhamza25

Most repeated value in a data set is called:

e. mode @studywithhamza25

f. none

g. median

h. mode



1. The optimal consumption point for the consumer is a point where:
   a. Budget line is tangent to the highest possible indifference curve.
   b. Slope of the indifference curve is equal to slope of the budget line.
   c. Marginal rate of substitution equals the relative price ratio.
   d. All of the given options are true. ✔HB ✔HB^{HB}
2. What does demand schedule represent?
   a. Relationship between demand and supply
   b. Consumer preferences
   c. Different combinations of demand and price ✔HB
   d. Changes in market conditions
3. If marginal utility is equal to 50 and price is equal to 40, consumer surplus will be:
   a. 100
   b. 90
   c. 10 ✔HB
   d. 20

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4. Suppose the total utilities for the third and fourth units of a good consumed are 69 and 83, respectively. The marginal utility for the fourth unit is:
   a. 69
   b. 10
   c. 83
   d. 14✔HB
5. What does economic growth mean?
   a. Decrease in country's total output
   b. No change in country's total output
   c. Redistribution of country's total output
   d. Increase in country's total output✔HB
6. Faiza stays at home for cooking rather than going out with her friends for a walk. Her dilemma is an example of:
   a. Opportunity cost✔HB
   b. Nash Equilibrium
   c. Allocative efficiency
   d. Marginal analysis
7. "We all want a bunch of stuff, we can't have everything that we want." Which of the following best describes this statement?
   a. Scarcity✔HB

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b. Inflation
c. Rationing
d. Bundling

8. Which of the following factors would cause a leftward shift in the supply curve for bicycles?
a. Decrease in prices of inputs
b. Change in taste
c. Increase in income
d. Increase in prices of inputs ✔HB

9. Which of the following is the slope of the budget line;
a. -Py/Px✔HB
b. Px/Py
c. Px+Py
d. –Px/Py

10. The cross price elasticity of demand for substitute goods is:
a. Minus one.
b. Zero.
c. Positive. ✔HB
d. Negative.

HB
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ECO401 QUIZ#2

1. **Giffen goods are the sub category of:**
   a. Inferior goods @studywithhamza25
   b. Normal goods
   c. Expensive goods
   d. Luxury goods

2. **The study of economics basically focuses on:**
   a. For whom resources are allocated to increase efficiency.
   b. How scarce resources are allocated to fulfill society's goals. @studywithhamza25
   c. What scarce resources are used to produce goods and services.
   d. How society spends the income of individuals.

3. **The law of diminishing marginal utility refers to the:**
   a. Idea that total utility is negative.
   b. Fall in additional satisfaction created by consumption of more and more units of a good. @studywithhamza25
   c. Decrease in total satisfaction as more units of a good are consumed.
   d. Units of a good.

4. **Which of the following is a determinant of quantity supplied?**
   a. All of the given options. @studywithhamza25
   b. Cost of productions.
   c. Aims of Producers.

d. **Profitability of alternative goods.**

5. **The increment to total benefit derived from consuming an additional unit of good or service is known as:**

a. Average cost
b. Marginal benefit **@studywithhamza25**
c. Marginal revenue
d. Marginal cost

6. **Suppose that thirty units of output are produced by using five units of labour. The average product of labour is:**

a. **5**
b. **30**
c. **1/6**
d. **6 @studywithhamza25**

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7. **Which of the following is TRUE about the production function?**

a. **It relates inputs with output.**
b. **It generates a curve that is upward sloping.**
c. **It shows diminishing marginal product of an input.**
d. **All of the given options are true. @studywithhamza25**

8. **If there is a price ceiling, there will be:**

a. Shortages **@studywithhamza25**
b. Surpluses
c. Economic efficiency
d. Equilibrium

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1. The marginal revenue (MR) function can be found by taking the derivative of the:

a. Total revenue (TR) function@STUDYWITHHAMZA25
b. Average revenue (AR) function
c. Total cost (TC) functon
d. Marginal cost (MC) function

2. In which of the following cases long run total cost (LRTC) curve is positively sloped straight line?

a. Economies of scale
b. Constant costs@STUDYWITHHAMZA25
c. Returns to scale
d. Diseconomies of scale

3. Suppose that 24 units of output are produced by using 6 units of labor. Which of the following is TRUE in this context?

a. The average product of labor is 4. @STUDYWITHHAMZA25
b. The total product of labor is 1/4.
c. None of the given options
d. The marginal product of labor is 4.

4. If the quantity of all inputs are increased by 30% and output expands by 25%, then the firm is experiencing ;

a. Constant returns to scale
b. Increasing returns to scale

c. None of above

d. Decreasing returns to scale@STUDYWITHHAMZA25

5. **The L-shaped indifference curve line indicates that the two goods are perfect**;

a. Food

b. Luxuries

c. Compliments

d. Substitutes@STUDYWITHHAMZA25

6. **Which of the following is TRUE about the total cost curve?**

a. It gets steeper as output rises.

b. It relates output with total cost.

c. All of the given options are true. @STUDYWITHHAMZA25

d. It is usually upward sloping.

7. **If total revenue function of a firm is TR = 200 – 4Q, then marginal revenue will be**:

a. 4Q

b. -4

c. -4Q@STUDYWITHHAMZA25

d. 200

8. **If the marginal physical product is above the average physical product:**

a. The total physical product will fall.

b. Average variable costs will fall.

c. Total revenue will fall.

d. The average physical product will rise.

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9. The total cost per unit of output is called;

a. A Sunk cost.
b. An Opportunity cost.
c. An Average cost. @STUDYWITHHAMZA25
d. A Variable cost.

10. Which of the following statements describes the presence of diminishing returns?

a. The marginal product of a factor is positive and rising.
b. The marginal product of a factor is positive but falling. @STUDYWITHHAMZA25
c. The marginal product of a factor is falling and negative.
d. The marginal product of a factor is constant.

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1. ---------- is an accounting record of a country's transactions with rest of the world.
    a. Balance of payment
    b. Balance of trade
    c. Rate of inflation
    d. Trade liberalization
2. The labour force is made up of:
    a. The number of people employed plus the number of people unemployed.
    b. The number of people employed minus the number of people unemployed.
    c. Just the number of people employed.
    d. The whole population.
3. What measures the rate of increase of average wage in the economy?
    a. Consumer Inflation Index
    b. Wage inflation
    c. Wage deflation
    d. Producer Inflation Index
4. A growth rate for lower income countries (LIC's) is considered healthy if it is:
    a. Below 2%
    b. Above 8%
    c. Between 5% to 7%
    d. Exactly 3%

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5. According to the quantity theory of money, which of the following is TRUE for the equation MV = PQ?
    a. Q is the real price level
    b. P rises as V falls, other things constant
    c. M is real money supply
    d. M is nominal money supply
6. The interest rate parity is the basic identity that relates:
    a. Nominal exchange rate and real exchange rate
    b. Saving rate and real interest rate
    c. Saving rate and nominal interest rate
    d. Interest rates and exchange rates
7. Revaluation is known as:
    a. The act of less or more permanent increase in the value of price by government
    b. The act of increasing the price of one country's currency in terms of other currencies by the government
    c. The act of decreasing the price of one country's currency in terms of other currencies by the government
    d. The act of less or more permanent decrease in the value of price by government
8. Measures the value of output during a given year using the prices prevailing during that year is:

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a. Real GDP
b. Nominal effective exchange rate
c. Real exchange rate
d. Nominal GDP

9. According to classicals, unemployment is
a. Structural
b. Seasonal
c. Voluntary
d. Involuntary

10. If output gap is positive then:
a. It will have no impact on economy
b. Economy will be in recession
c. It will have negative impact on economy
d. Economy will be in expansion

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